

Legal Risk Analysis Report

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HIGH RISKS	MEDIUM RISKS	LOW RISKS
3	6	4

1. ● HIGH RISK

FLAGGED CLAUSE

■ *obligations...shall survive for a period of three (3) years from the date of initial disclosure*

WHY IT'S A RISK

The 3-year survival period may be insufficient to protect highly sensitive technical or financial information disclosed early in the relationship, leaving critical data unprotected after expiration.

SUGGESTION

Negotiate a longer survival period (e.g., 5–7 years) for sensitive categories of information, or tie the obligation to the sensitivity level of the disclosed information rather than a fixed date.

2. ● HIGH RISK

FLAGGED CLAUSE

■ *trade secrets, which shall remain protected for as long as they qualify as trade secrets under applicable law*

WHY IT'S A RISK

The definition of when something 'qualifies as a trade secret' is inherently uncertain and can be disputed, creating a loophole where a receiving party argues the trade secret status has lapsed to escape obligations.

SUGGESTION

Add a clause specifying that the Disclosing Party's determination of trade secret status is presumed valid unless successfully challenged in a court of competent jurisdiction, placing the burden of proof on the Receiving Party.

3. ● HIGH RISK

FLAGGED CLAUSE

■ *Any legal actions arising hereunder shall be brought exclusively in the courts located in Austin, Texas*

WHY IT'S A RISK

Apex Hardware Manufacturing Corp. is based in San Jose, CA, making Austin, TX an inconvenient and costly jurisdiction for Party B to litigate any dispute, creating a one-sided practical advantage for Party A.

SUGGESTION

Party B should negotiate for a neutral jurisdiction, a venue closer to Party B, or a mutual option clause allowing either party to file in their home jurisdiction.

4. ● MEDIUM RISK

FLAGGED CLAUSE

■ *any and all information disclosed...whether orally, visually, or in tangible form...that reasonably should be understood to be confidential*

WHY IT'S A RISK

The 'reasonably should be understood' standard for oral and visual disclosures is vague and subjective, creating disputes about whether specific information was actually covered as Confidential Information.

SUGGESTION

Add a requirement that oral or visual disclosures be confirmed in writing (e.g., via email summary) within a defined period (e.g., 10–15 business days) to create a clear record of what is protected.

5. ● MEDIUM RISK

FLAGGED CLAUSE

■ *employees, affiliates, advisors, or contractors who need to know such information for the Purpose*

WHY IT'S A RISK

The term 'affiliates' is undefined and could encompass a broad range of related entities, potentially allowing wide dissemination of confidential information beyond what either party intended.

SUGGESTION

Define 'affiliates' with a clear ownership or control threshold (e.g., entities with at least 50% common ownership) and add a requirement that all affiliates sign a separate confidentiality undertaking.

6. ● MEDIUM RISK

FLAGGED CLAUSE

■ *the parties desire to evaluate or pursue a potential business relationship or transaction of mutual interest (the 'Purpose')*

WHY IT'S A RISK

The 'Purpose' is broadly and vaguely defined, which could allow the Receiving Party to use Confidential Information for a wider range of activities than originally intended by the Disclosing Party.

SUGGESTION

Define the Purpose with specificity, naming the exact project, transaction, or evaluation being contemplated, and add a clause prohibiting use for any purpose beyond that definition.

7. ● MEDIUM RISK

FLAGGED CLAUSE

■ *This Agreement governs disclosures made within two (2) years from the Effective Date*

WHY IT'S A RISK

If the business relationship extends beyond two years, new disclosures will not be covered under this agreement, leaving later-stage sensitive information unprotected without a new agreement in place.

SUGGESTION

Include an automatic extension provision or a mutual written amendment process to extend the disclosure period if the business relationship continues beyond the initial two-year window.

8. ● MEDIUM RISK

FLAGGED CLAUSE

■ *Nothing in this Agreement grants, explicitly or implicitly, any license or ownership rights under any patent, copyright, trademark, or trade secret*

WHY IT'S A RISK

While this protects the Disclosing Party, it does not address ownership of any jointly developed IP or derivative works that may arise during the evaluation or collaboration process.

SUGGESTION

Add a clause explicitly addressing ownership of any jointly created or derivative works or inventions developed during the Purpose, or reference a separate IP agreement to govern such scenarios.

9. ● MEDIUM RISK

FLAGGED CLAUSE

■ *provide prompt written notice to the Disclosing Party so that the Disclosing Party may seek a protective order*

WHY IT'S A RISK

The term 'prompt' is undefined, meaning in a fast-moving legal proceeding the Receiving Party could delay notice until it is practically impossible for the Disclosing Party to seek a protective order.

SUGGESTION

Replace 'prompt' with a specific timeframe (e.g., at least five (5) business days before disclosure, or as soon as practicable) to give the Disclosing Party a meaningful opportunity to respond.

10. ● LOW RISK

FLAGGED CLAUSE

■ *It may only be amended or modified by a written agreement signed by authorized representatives of both parties*

WHY IT'S A RISK

While this mutual amendment requirement is protective, the agreement lacks a definition of 'authorized representative,' which could lead to disputes over whether a signatory had actual authority to bind their organization.

SUGGESTION

Define 'authorized representative' (e.g., an officer or director with binding authority) and consider adding a representation by each party that their signatory has full authority to execute the agreement.

11. ● LOW RISK

FLAGGED CLAUSE

■ *securely destroy all copies of Confidential Information and certify such destruction in writing*

WHY IT'S A RISK

The agreement does not specify a timeframe within which the return or destruction must occur, allowing indefinite delay after a written request is made.

SUGGESTION

Specify a defined deadline for return or destruction (e.g., within fifteen (15) business days of written request) and clarify that the obligation covers both physical and electronic copies.

12. ● LOW RISK

FLAGGED CLAUSE

■ *This Agreement constitutes the entire understanding between the parties regarding this subject matter and supersedes all prior discussions or agreements*

WHY IT'S A RISK

There is no dispute resolution mechanism (e.g., mediation or arbitration) specified before litigation, meaning any disagreement immediately escalates to costly court proceedings in Austin, TX.

SUGGESTION

Add a tiered dispute resolution clause requiring good-faith negotiation, then mediation, before either party may initiate litigation, to reduce cost and preserve the business relationship.

13. ● LOW RISK

FLAGGED CLAUSE

■ *There is no force majeure clause present anywhere in this Agreement*

WHY IT'S A RISK

Without a force majeure clause, a party's failure to meet obligations (e.g., timely return of materials) due to events outside their control could constitute a breach with no available defense.

SUGGESTION

Add a standard force majeure clause excusing non-performance caused by events beyond a party's reasonable control, provided prompt notice is given and reasonable mitigation efforts are made.